

operations in specialized fields, with self-imposed limits on the capital employed—and not actively sold to the public.*
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Closed-End versus Open-End Funds

Almost all the mutual funds or open-end funds, which offer their holders the right to cash in their shares at each day's valuation of the portfolio, have a corresponding machinery for selling new shares. By this means most of them have grown in size over the years. The closed-end companies, nearly all of which were organized a long time ago, have a fixed capital structure, and thus have diminished in relative dollar importance. Open-end companies are being sold by many thousands of energetic and persuasive salesmen, the closed-end shares have no one especially interested in distributing them. Consequently it has been possible to sell most "mutual funds" to the public at a fixed premium of about 9% above net asset value (to cover salesmen's commissions, etc.), while the majority of close-end shares have been consistently obtainable at *less* than their asset value. This price discount has varied among individual companies, and the average discount for the group as a whole has also varied from one date to another. Figures on this point for 1961–1970 are given in Table 9-3.

It does not take much shrewdness to suspect that the lower relative price for closed-end as against open-end shares has very little to do with the difference in the overall investment results between the two groups. That this is true is indicated by the comparison of the annual results for 1961–1970 of the two groups included in Table 9-3.

Thus we arrive at one of the few clearly evident rules for investors' choices. If you want to put money in investment funds, buy a group of closed-end shares at a discount of, say, 10% to 15% from asset value, instead of paying a premium of about 9% above asset value for shares of an open-end company. Assuming that the future dividends and changes in asset values continue to be about the same for the two groups, you will thus obtain about one-fifth more for your money from the closed-end shares.

The mutual-fund salesman will be quick to counter with the argument: "Ah, but if you own closed-end shares you can never be sure what price you can sell them for. The discount can be greater than it is today, and you will suffer from the wider spread. With our shares you are guaranteed the right to turn in your shares at 100% of asset value, never less." Let us examine